

AIM

AP.060 BUSINESS UNIT
MANAGERS READINESS PLAN

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Contents

Document Control	ii
Introduction	1
Purpose	1
Overview	1
Session Overview	1
Business Unit Managers' Induction	4
Executive Project Strategy	4
Stakeholder Analysis	4
Sponsorship Profile and Authority	4
High Level Systems Overview	5
Application Modules	5
Topics	5
Organizational Performance Improvement Strategy	6
Organizational Performance Improvement Model	6
Organizational Performance Measurement Grid	7
Organizational Performance Improvement Checklist	7
Organizational Performance Transition	15
Change Leadership Guiding Principles and Roles	18
Reactions to Change	18
Change Model	19
Guiding Principles for Effective Change	19
Change Leadership Behaviors	20
Open and Closed Issues for this Deliverable	23
Open Issues	23
Closed Issues	23
Appendix A - Business Unit Managers' Interview Guide	24
Business Unit Managers' Insights Interview Questions	24
Appendix B - Table of Common Information Technology and Organizational Development Terms	26
Table of Common Terms	26

Introduction

Purpose

The purpose of this document is to assist the business unit managers in understanding the project vision, how it will impact their business unit, and how they can best get involved to achieve the targeted business benefits. The business unit managers chiefly lead the effort that will determine how the organization will improve its performance, enabled by the new technology. Also, this document helps the business unit managers define their role as change agents throughout the life of the project <Project Name>.

Overview

This document includes the following components:

Component	Description
Introduction	Shows the outline for the work session(s).
Business Unit Managers' Induction	Exposes the business unit managers to the highlights of the project. Included here is the review of the vision, benefits, expected results, alignment with Information Technology and corporate strategy, and the overall project strategy. Exposes the business unit managers to the features and functions of the systems, in terms of how the applications can improve the way the business units operate.
High level Systems Overview	Provides a template for an overview of the relevant applications.
Organizational Performance Improvement Strategy	Guides the business unit managers in selecting the performance areas that can best be improved with the benefit of the technology and in determining how to roll-out the organizational performance improvement throughout their business units. Guides the business unit managers in planning the achievement of the business benefits for their business unit starting with the go live date.
Change Leadership Guiding Principles and Roles	Describes the guiding principles of change and highlights the role of the business unit managers as change leaders.
Appendix A	Business Unit Managers' Interview Guide
Appendix B	Table of Common Information Technology and Organizational Development Terms

Session Overview

Purpose

This business unit managers' readiness session assembled the business unit managers to expose them to the vision of the project, and to help them define how their respective business unit could best improve their organizational performance with the benefit of the technology. As a result of the session, the business unit managers become ready to lead the organizational improvement strategy that trickles down throughout the business units.

The work session(s) were highly interactive and focused on decision making around key questions to make sure that the organization could achieve the targeted business objectives:

- In which organizational performance areas can we achieve the highest improvement impact, with the advent of the new technology?
- How can we best involve middle management and first line management in the development of the organizational performance improvement strategy?
- What measures do we need to put in place to achieve the targeted performance improvements?
- How can business unit executives fulfill their role as business sponsors for the project?

The work session(s) looked at ways of answering these questions and examined the organizational issues relevant to the organizational performance improvement strategy and a successful achievement of the targeted business benefits.

Facilitation

The work session was facilitated by <Facilitator Name> from .

<Facilitator Name> Biographical Notes:

In addition, <Scribe's Name> attended the session to keep a record of all decisions made during the meeting and keep deliverables updated at all times throughout the session.

Attendees

The following participants attended the work session:

Organization	Name of Attendees	Title
<Company Long Name>		
Contract resources		

Outline

The following outlines the activities conducted for the work session:

Sections	Description	Time	Duration

Sections	Description	Time	Duration
Introduction Give background for the decision to go ahead with the project Introduce and welcome business unit managers, including in each introduction, a brief statement of how important each person is to the success of the project. Make the point that the participants will in turn lead a similar induction session with middle managers reporting to them. Describe the benefits of the project to the organization, to the business units and to the individuals themselves. Express (the executive sponsor's) own commitment to making the project a success	Overview of the session: purpose, expectations, logistics, etc.		¼ hour
Business Unit Managers' Induction Review vision, benefits, expected results (objectives and measures) Review alignment with Information Technology and corporate strategy Discuss high-level view of the impact of the project on technology, process and people Outline risks associated with the project Review executive decisions already made Introduce steering committee and project team members and roles Refine the stakeholder matrix Review the sponsorship program	Provides opportunity for business unit managers to understand the importance of the project for the organization and for their business units.		2 hours
High Level Systems Overview Conduct high level systems overview	Highlights how the business units can benefit from the features and functions of the new systems to improve their organizational performance.		2-6 hours
Organizational Performance Improvement Strategy Review the process for performance improvement Select improvement objectives Define cascade approach to further refine the improvement objectives Define performance transition strategy Capture action items	Provides the forum for the business unit managers to lead the organizational performance improvement strategy throughout their business unit.		2-4 hours
Change Leadership Guiding Principles and Roles Review examples of recent change and reactions to those changes Discuss guiding principles for effective change leadership Agree on role as change leaders	Highlights the 8 guiding principles to effective change leadership, describes the typical reactions to change and guides the discussion on the roles of the business unit managers as change leaders.		2 hours

Business Unit Managers' Induction

Executive Project Strategy

We discussed the following from the Executive Project Strategy (AP.010) and other project deliverables:

- Background for the decision to go ahead with the project
- Benefits of the project to the organization, the business units, and to the individual managers
- Implementation guidelines for a successful application implementation project
- Project vision and expected results (objectives and measures)
- Alignment of project vision with Information Technology and corporate strategy
- High level impact of the project on the organization's current technology, processes and people
- High level risks associated with the project
- Executive decisions, already made
- The members and roles of the steering committee and project team
- Project team charter and the division of responsibilities between the steering committee and the project team
- Performance expectations and the responsibilities of the project team

Stakeholder Analysis

The following lists the key stakeholders identified by the business unit managers:

Sponsorship Profile and Authority

Specific business unit managers' sponsorship responsibilities include:

- Communicate positively and frequently about the project to the people with whom they come into contact
- Provide the "best and brightest" people to the project team
- Be supportive of the people assigned to the project and remove barriers for the people from their business units
- Maintain commitment in themselves for the project throughout its lifecycle
-

High Level Systems Overview

Application Modules

The following modules were part of this overview:

-
-
-

Topics

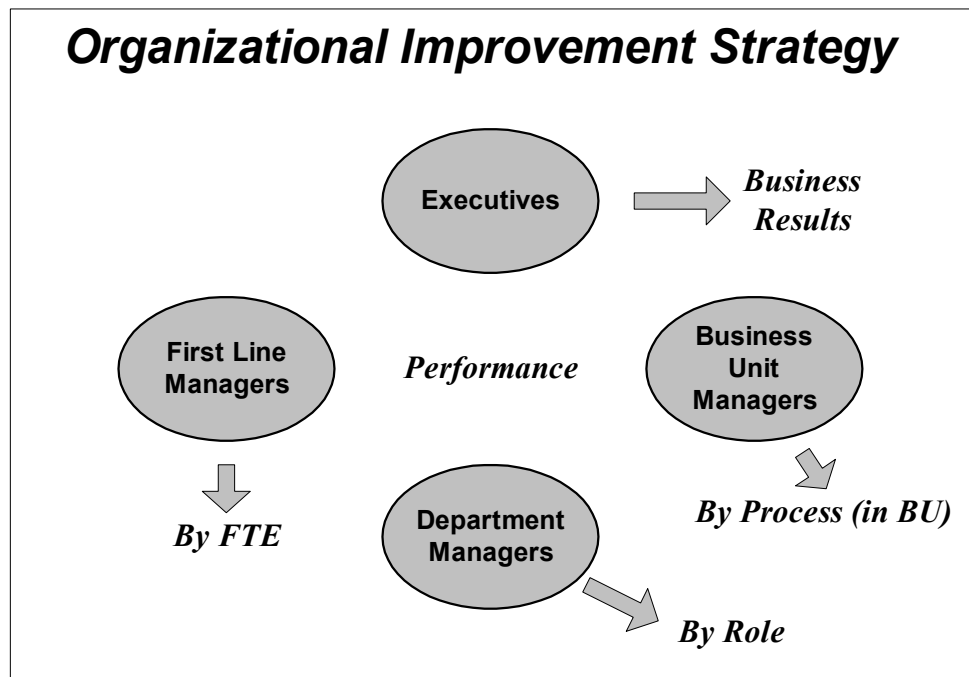
The following topics were covered in this overview:

- Highlights
- Introduction
- Structure
- Functionality
- Information Flows
- On-line Demo

Organizational Performance Improvement Strategy

Organizational Performance Improvement Model

This model is inspired by the balanced scorecard, a comprehensive balanced system that measures key areas of organizational performance and links long-term strategies with short-term actions. It is a key tool to drive new strategic goals, including those enabled by the new technology, more rapidly through the enterprise. This organizational performance improvement model helps communicate corporate performance strategies throughout the organization, and is used to set individual and team goals, allocate resources, compensate employees, and plan budgets. It can also provide feedback on an ongoing basis as to how individuals, departments and business units are performing in each of the areas the leadership has selected as critical to the organization's success.



Organizational Levels	Improvement Levels	Activity
Executive/Steering Committee/Project Team	Organizational Project	Give performance orientation, that is, business drivers, business impact Define business results expected
Business Unit Managers	Business Unit	Prioritize organizational performance areas by process and define performance objectives for business units Identify process ownership Create infrastructure and delegate completion of business unit measures

Organizational Levels	Improvement Levels	Activity
Department Heads (middle managers)	Departments Roles	Identify key process activities Tailor the activities performance matrix Lead task forces to update human performance support systems Define role expectations
First Line Managers	FTEs (Full Time Equivalent) Work groups	Validate and implement new human performance support systems to achieve FTE performance expectations

Organizational Performance Measurement Grid

The following defines key organizational performance areas:

Organizational Performance Area	Definition: How the organization...
Customer Service	Serves, relates to and cares about customers
Productivity (Quality and Quantity)	Meets the standard quality for products/services and how effectively/efficiently it uses its resources
Information	Optimizes the knowledge gained from people and data
Authority/Accountability	Gives employees the freedom to make decisions
Environment	Optimizes the physical, psychological and cultural aspects of work
Teamwork	Combines intellectual capital and skills around work groups to reach organizational objectives
Learning	Continuously applies the knowledge gained from success and failures

Organizational Performance Improvement Checklist

The following checklist guided the development of the initial organizational performance improvement strategy:

1. How will the implementation of these applications impact the performance expectations of my business unit?
2. Which key business processes will be impacted?
3. How do the corporate business objectives translate at my business unit level?
4. What members of my team do I want to consult with about these organizational performance improvement measures?
5. Can I produce these measures in isolation or do I need to negotiate with other business unit leaders?
6. Which of the organizational performance area (see checklist below) do I want to select as a focus area(s)?
7. What are my priorities among the organizational performance areas I selected?
8. How will I delegate the completion of the organizational performance improvement strategy to my middle managers?
9. What is my strategy for rolling out those measures to my unit?

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
	Customer Service	Increase customer satisfaction	Positive responses on customer satisfaction survey Add-on business from current customers	Conduct customer satisfaction survey	__% of our customers describing themselves as "satisfied" or "highly satisfied" Number of additional products and services ordered by existing customers
		Increase referenceability	Customers are referenceable	Track number of customers who are willing to provide references	__% of customers are willing to provide references by <date>
		Retain current customers	High percent of retained customers	Track customer retention	__% of current customers retained
		Anticipate customers' needs	New product/services which are purchased by customers	Do a market analysis Set up a customer focus group on future trends	One new product or service purchased by __% of customers by <date>
		Improve order fulfillment process	Short time elapsed between receiving order and delivery to customer	Measure task flow in order-fulfillment process	Reduce order-fulfillment time to __ working days
		Improve response to customer complaints	Positive customer perception of complaint resolution	Conduct follow-up calls to determine customer perception of resolution Track the authority levels of employees who resolve customer complaints	Achieve at __% satisfaction rate by <date> Conduct __% learning events by <date> on resolving complaints and using new authority levels
		Reduce customer complaints	Low number of complaints received	Track complaints. Capture information from complaints and give feedback to appropriate teams so issues can be resolved.	Reduce complaints by __% over the next __ weeks.
		Improve contract compliance	Low number of customer complaints referred to legal department	Track number of complaints, suits, and settlements dealt with by the legal department.	Reduce rate of suits or settlements by __% over the next __ months.
	Productivity (Quantity and Quality)	Increase output ratio	Same amount of work done by fewer people, in less time, or with less money or increased amount of work done by same number of people	Track productivity by Full Time Equivalent (FTE)	Produce __% more with __% less resource
	Improve productivity	Document, analyze, and streamline processes	Processes are streamlined; non-value activities are eliminated	Track changes in the amount of time required for a process or the physical or human resources required Do a cost-benefit analysis	__ fewer resources needed to complete this process by <date> Track number of non-value add activities eliminated over __ months
		Implement a proactive systems' maintenance program	Systems optimally functioning	Measure systems' up time	System up time increase by __% over __ days

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
		Increase number of shifts	Appropriate number of shifts	Track time logs and production schedules	Shifts increase to __ by <date>
		Reduce rework	Reduced rework	Measure rework	Rework reduced __ % by <date>
	Improve quality of products/ services	Reduce number of customer rejections/ returns	Reduced number of customer rejections/ returns	Track customer rejections/ returns	Reduce number of rejections/ returns by __ % over the next __ days
		Achieve zero defects	Zero defects	Track defects	__ % of decrease in defects by <date>
		Establish continuous improvement as a standard approach	Continuous improvement program working	Measure learning events deployed to employees on continuous improvement	__ % of teams have participated in first round of learning events on continuous improvement
		Implement non-conformance report	Non-conformance report analysis	Track instances and reason for non-compliance	Report implemented by <date>
		Implement corrective action procedures	Dissemination and implementation of corrective action Solicit employee and organization input	Track problem resolution Track input from employees and organizations	Learning events on corrective action completed by <date> __ focus groups completed by <date> __ interviews conducted by <date>
		Reward employees for improvements	Continuous improvement program	Track result of improvement initiatives	Recognition and reward system in place by <date> Continuous improvement program in place by <date>
		Achieve ISO certification	ISO Certified	Track milestones toward completion of ISO/QS9000 award	Receive award by <date>
	Information	Give people access to information they need to work effectively	Employees are satisfied with the information they receive Employees get the information they need to make good decisions	Employee survey which include communication questions Track decision problems caused by lack of accurate or timely information through status reporting	__ % of employees agree or strongly agree with the following statements: 1. I get the information I need to do my work effectively 2. I have opportunities to give feedback on the information I'm given 3. I get accurate information 4. I don't have to rely on the grapevine for information __ reduced number of incidents of decisions made in the absence of good information

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
		Create an information channel infrastructure	People have access to information through multiple channels People get information tailored to them, delivered in a timely manner, through the most effective media	Employee survey which includes a question to determine where people get information and the quality and timeliness of that information	___% of employees agree or strongly agree with the statements: 1. I get information through multiple channels 2. The information I receive is relevant to my daily functions 3. The information I receive is timely
		Develop a communication plan	Two-way information communication	Develop a communication plan Assign a communication team Designate a communication coordinator Create standardized communication formats Measure flow of communication	Communication plan in place by <date> Communication team selected by <date> Communication coordinator designated by <date> Communication standards defined by <date> Communication flow analysis completed by <date>
		Improve information security	Information is secure	Track number of breaches of security	Security plan completed by <date>
	Authority/ Accountability	Give people the authority and accountability they need to make the right decisions	No work delays attributed to multi-layered decision-making process	Using status report or project post-mortem, gather data on delays caused in decision-making process	___ delays reduced ___% over a ___ month period
		People are satisfied with the authority and accountability given to them	Positive response on employee satisfaction survey	Employee survey which includes questions on authority	___% of employees agree or strongly agree with the statements: 1. I have the authority I need to carry out my assignments 2. I am held accountable for the work I do 3. In my work group, because of our ability to get a decision made, we do not incur delays 4. I have the opportunity to give input on decisions which affect me 5. I am told what I need to do, but I decide how to do it.

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
	Environment	Create a safe physical environment	Accident-free work place	Track learning events deployed to employees to create a clean, safe environment Track number of accidents	Learning events on safety deployed to all employees by <date> ___ accident-free days by <date> Rewards program for <duration> without an accident in place by <date>
			No OSHA (Occupational Safety & Health Agency) violations	Institute an OSHA (Occupational Safety & Health Agency) compliance audit	___% reduction in OSHA (Occupational Safety & Health Agency) violations by <date>
			No occupational injuries	Track occupational injuries	___% reduction in occupational injuries
		Create an environment which will attract and retain the best employees	Employee benefits on par with competitors	Do benefits competitive analysis Employee survey which includes a question on perception of benefits	Benefits analysis and adjustment (if needed) completed by <date> ___% of employees agree or strongly agree with the statement: "The benefits provided by this organization are comparable to those provided by other companies in the industry."
			Employee compensation is market competitive	Do compensation competitive analysis Employee survey which includes a question on perception of compensation	Compensation analysis and adjustment (if needed) completed by <date> ___% of employees agree or strongly agree with the statement: "My salary is comparable to salaries paid at other organizations in this industry"
			Organization has a performance-based reward structure	Determine performance measures and corresponding reward	Performance-based reward program in place by <date>
			Organization has a low turnover of high performers	Measure retention of high performers Track reasons given for voluntary termination and look for recurring problems	Turnover reduced by ___% by <date> Begin exit interviews by <date>

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
			High employee satisfaction levels	Annual employee satisfaction survey	___% of employees agree or strongly agree with the statements: 1. I would recommend this organization as a good place to work 2. I am treated with respect 3. I am a highly valued employee 4. I have opportunities to achieve my career goals
			Referrals for new hires from existing employees	Track employee referrals	___% increase in employee referrals by <date>
	Teamwork	Increase teamwork to maximize productivity	Reward and recognition system focused on team contributions Management By Objective (MBO) program in place Teams' MBOs (Management By Objective) achieved	Track output and Management By Objective (MBOs) of work teams Provide learning events in conflict management, decision making, cross-functional teamwork and communication	Number of teams achieving or exceeding goals Management By Objective (MBOs) and Reward system in place as of <date> ___% of employees agree or strongly agree with the statement: "I know what the goals for my team are" Learning events deployed to all employee by <date>
			Increased span of control	Measure span of control Track decision-making authority at the team level	Span of control reaching determine ___ by <date> <Number> of employees have the authority to make decision which involve spending less than \$___
			Satisfaction with team experience is high	Employee survey to measure employee satisfaction with his/her team	___% of employees agree or strongly agree with the statements: 1. On my team we work together effectively 2. My team makes the best use of everyone's skills 3. On my team we know what our goals are 4. On my team we know how to manage conflict

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
		Create flexible teams	Ad hoc teams are common Temporary assignments are available	Track use of ad hoc teams Track shadow or job exchange assignments	___% increase in number of ad hoc teams by <date> Number of shadowing or job exchanges in past ___ months
		Support cross-functional initiatives	Cross-learning is a part of the organization's culture	Use skills profile to track newly acquired skills as a result of cross-learning Track back-ups for key roles	Number of skills added to employee's profile as a result of cross-learning ___% increase in number of back-ups for key roles
			People are made available for mission-critical projects	Use 360 degree evaluation to measure managers on willingness to free up good people	Manager performance evaluation altered to include support of cross-functional initiatives as a measurement by <date> <Number> of managers rated as supportive to highly supportive of cross-functional initiatives
	Learning	Create a culture which supports organizational learning	Mistakes are regarded as learning experiences	Employee survey includes a question on management's attitude toward mistakes	___% of employees agree or strongly agree with the statement: "In this organization, mistakes are regarded as stepping stones to learning."
			Employees perceive risk taking is supported	Employee survey includes a question on risk taking	___% of employees agree or strongly agree with the statement: "This organization encourages intelligent risk taking"
			Leaders understand and embrace the concept of a learning organization	Track availability and use of management learning events on learning organization	Complete management learning events by <date>
			Management MBO (Management By Objective) includes support of learning organization	Use managers' performance appraisal to measure support of learning organization Use Balanced Scorecard to track learning organization objective	Performance appraisal revised by <date> Number of managers who reach learning organization objectives
			Leaders are rewarded for achieving learning organization goals. Sacred cows are eliminated	Track rewards given leaders for achieving learning organization goal	Number of leaders rewarded for reaching learning organization goal

Priority	Organizational Performance Area	Improvement Objectives	Indicators	Measurement Actions	Criteria
		Encourage knowledge transfer from person to person	People share information, skills, competencies	Track coaching and mentoring programs Track availability and participation in learning events on coaching and mentoring	Number of coaching relationships Learning events on effective coaching is completed by <date> <Number> of employees have participated in learning events on effective coaching in the past __ months
		Enhance people competency	People are continually gaining new skills which enhance the organization's core competencies	Track learning events deployed on organizational core competencies Implement and tracking individual role-based learning plans aligned with business objectives and values Certify incumbents for all job roles Identify critical roles; Define critical global competencies; Associate competencies with roles Identify subject matter experts by role Perform analysis of gap between required skills and actual skills	<Number> of people who are evaluated by their supervisor as possessing specific core competencies Number of learning plans in place Incumbents certified by <date> Critical roles identified by <date> <Number> of succession plans for key roles Competencies defined by <date> Competencies and roles associated by <date> Subject Matter Experts (SMEs) identified by <date> Skill gap reduced by __%j
			Implement knowledge management procedure for all "lessons learned," deliverables, processes	Track contribution and access to knowledge management data base	__% of employees contributing to and learning from the knowledge base by <date>
		Increase career opportunities	People perceive the career potential within the organization	measure inter- and intra-departmental transfers for cross-learning and temporary to permanent assignments	<Number> of inter or intra departmental transfers within <time>
			Career plans are in place for all employees	Track number of employees who have a career plan	<Number> of employees with completed career plans
			Employees have access to a job posting bank	Track use of job posting bank of available positions with identified criteria	<Number> of jobs acquired through the use of job posting bank by <date>

Organizational Performance Transition

Performance transition in the computer/software industry means installing the new series of products and planning for the achievement of business benefits. In addition to converting from one system to another, organizational performance transition means figuring how to get people to use the system correctly - learning events, manuals, help desk, job aids, etc.

Organizational performance transition is different from technology transition (See Table of Common Information Technology and Organizational Development Terms in Appendix B). Organizational performance transition is moving users from their current work systems, skills, knowledge, activities, biases, limits, comfort zones, to different work systems, skills, knowledge, activities, biases, and limits of a new technology. It's about managing productivity degradation across the technology swap to minimize negative consequences. It's about achieving the productivity gains expected by creating an environment that sustains these productivity gains into the future, from both the organization's and the employees' point of view.

Organizational Shift For its employees, the organization must:	Employee Shift Employees must act in new ways so that they:
Offer participation in overcoming challenges and discovering new ways	Challenge reality, let go of old ways. Look at the big picture, beyond their own individual work spaces
Provide full information about what is happening	Share what they know with everyone
Provide opportunities for self-development	Take up self-development and learning opportunities
Support emotional upheaval of change	Strategically redefine their work
Respect employees as people	Recommit to their teams
Implement changes with credibility, honesty, and fairness	Seed personal meaning in work

Scenarios and Consequences

The following table overviews a fixed set of transition events. These scenarios are not all inclusive.

Scenarios	Risks	Advantages
Incremental process improvement (step by step phase-in)	Lacks urgency to learn and use new technology Fosters user resistance Long learning curve Customer service decrements Environment may change over the life of the process	Lower risks of system failure and end-user resistance Allows for implementation strategy modifications
Big Bang	Incomplete transition for users (may not have assimilated learning) Reconciliation problems User resistance Customer service decrements	Sense of urgency to complete tasks Compress last minute pressures Steep learning curve
Performance approach - area by area (productivity, customer service, ...)	Limits output amount (productivity) User resistance	Maintains customer service quality
Do nothing-maintain status quo throughout the implementation	Y2K non-compliance Lack of competitive advantage in relation to competitors	Lack user preparation

Organizational Performance Transition Checklist

The following checklist guided the discussions around the organizational performance transition strategy:

1. By what date do you anticipate achieving your business results?
2. Are all the business results of equal importance? What is the level of tolerance around failure to achieve 100% of the business objectives?
3. What productivity gains do you anticipate on day one of “go live”?
4. Would an initial drop in productivity be probable? How long do you think it might last?
5. How will you track productivity during the transition?
6. If you experience productivity drops, how will you distinguish people-issues versus system-issues?
7. What barriers do you anticipate which might impede progress toward improved organizational performance?
8. How will you know if new processes are working?
9. How will you know if you’ve conducted enough learning events?
10. How will you know if people are using the full functionality of the system?
11. Is funding allocated for temporary staff to support job performance during and post cut-over?
12. Do you have enough support staff to handle the need for additional help during the transition?
13. Will the support staff need any additional training to function effectively during the transition?
14. What is the strategy for handling customer complaints during transition?
15. How do you plan to measure customer impact?
16. What is your plan for communication with your customers during this time?
17. Will you need any additional resources to handle customer issues?
18. What are the milestones you expect to achieve as you move toward achievement of business results, that is, what percent of each goal do you expect to achieve by what date?
19. What are the key indicators you will track to see if you are on schedule?
20. What contingency plans do you have?
21. how will you track employee morale during this period?
22. What are your plans for communicating progress toward business objectives during this time?

	Go Live	Milestone 1	Milestone 2	Milestone 3
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June 4, 1999

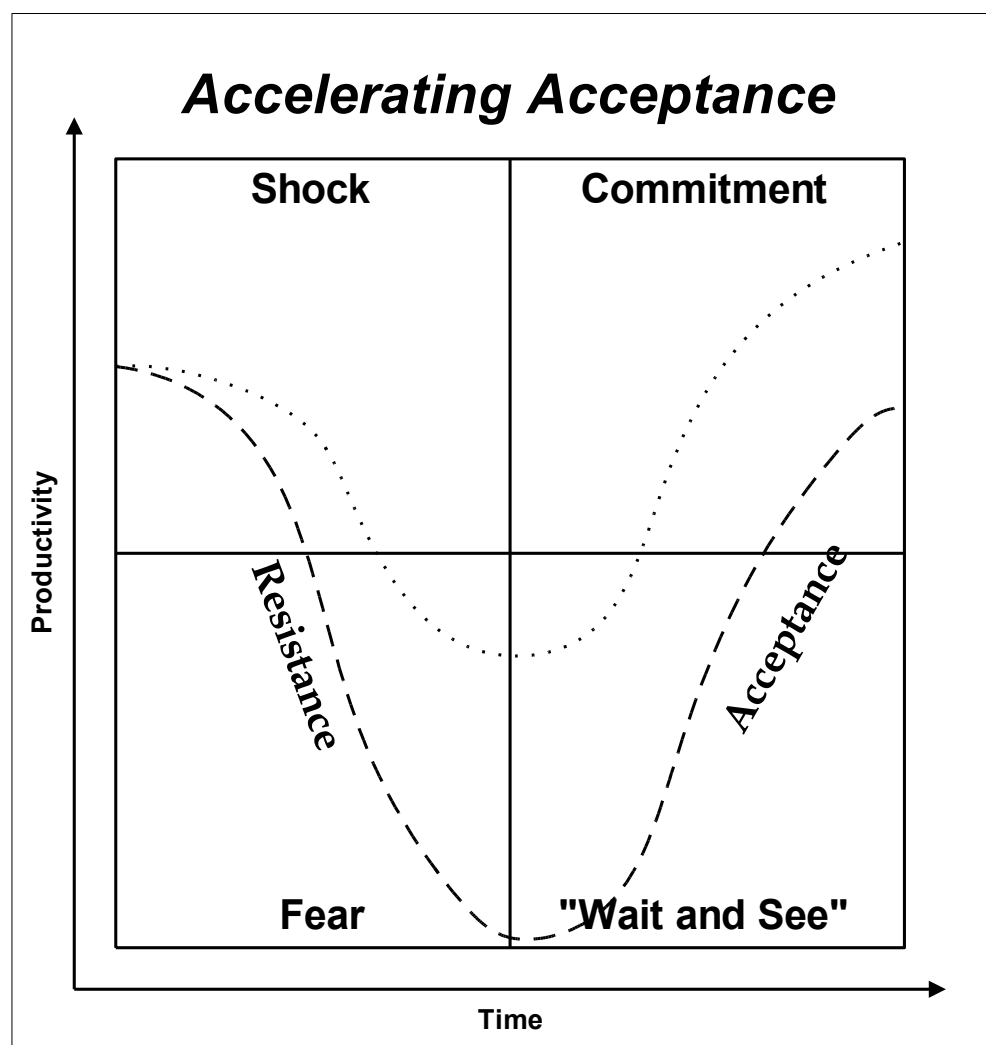
Expected Business Results in Selected Organizational Performance Areas	Contingency Strategies	Intermediary Results	Contingency Strategies	Intermediary Results	Contingency Strategies	Intermediary Results	Contingency Strategies	Intermediary Results

Change Leadership Guiding Principles and Roles

Reactions to Change

Accelerating the Path Through the Valley of Despair

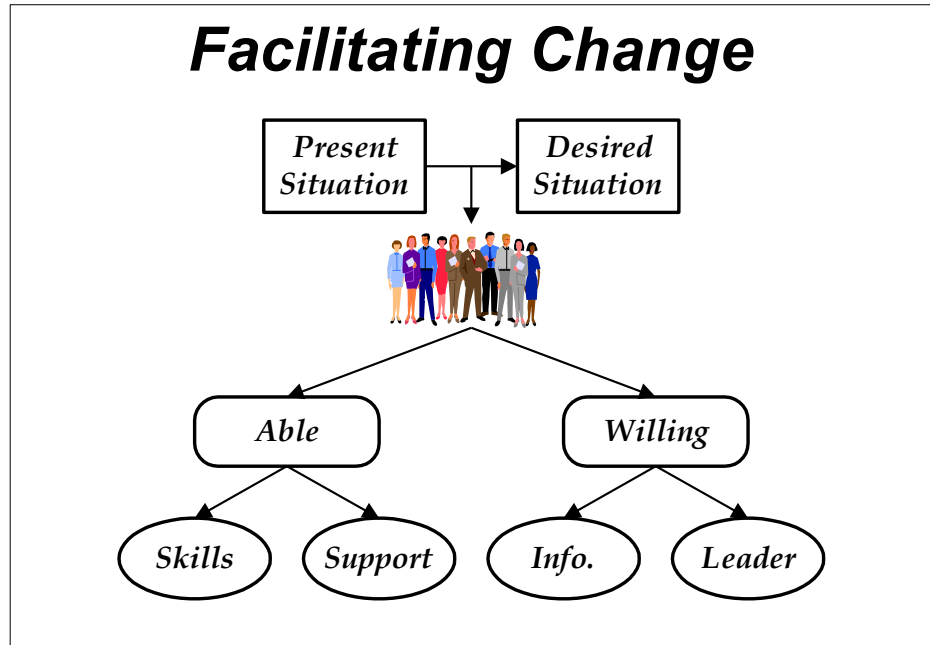
As users react to change through shock, fear and “wait and see” attitude before they commit to the new roles they must fulfill, there is a great drop in productivity. Adoption tasks aim at accelerating the cycle of reaction to change so the productivity drop is lessened and users achieve acceptance faster and generate higher productivity.



Change Model

To Change, Individuals Need the Will and the Abilities

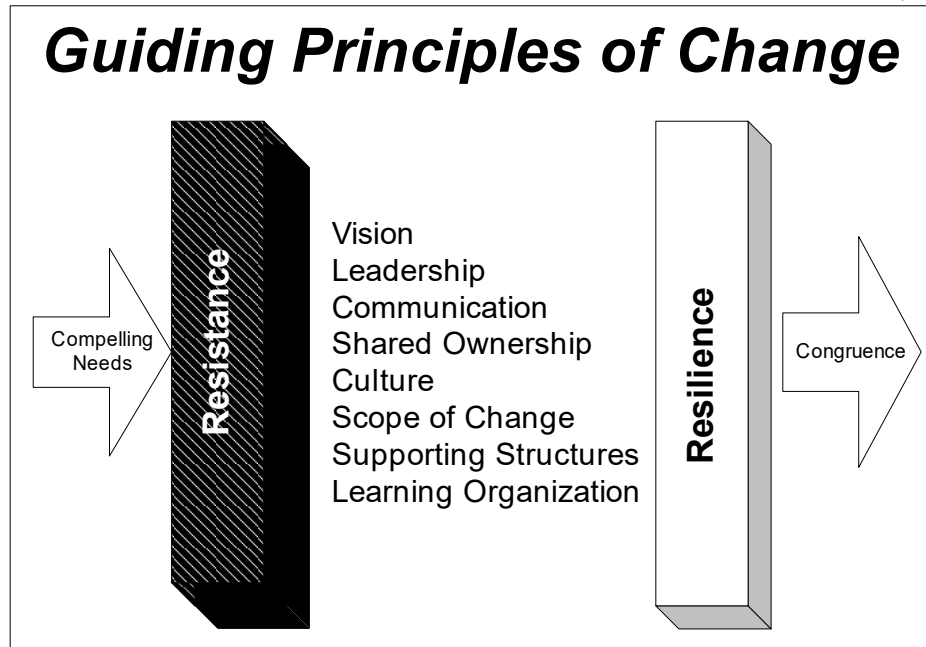
To facilitate the change from the present to the desired situation, users need the will and the abilities to change.



Guiding Principles for Effective Change

Leading Change From Resistance to Resilience

There are eight guiding principles for effective change.



Change Leadership Behaviors

Leaders at all level must participate in the change leadership pattern across the organization. The business unit managers agreed to the following change leadership behaviors:

Guiding Principles	To Do	How To
Create a Clear, Compelling Vision Give a picture of where you are headed Describe how the vision will be achieved Keep it concise	Promote the project vision and keep in the fore front its tie to the corporate strategy Leaders need to be able to dream and do; get some talented dreamers to help you on the team	Think about how the project can best serve your business unit strategy; dream big. Identify the key benefits of the project for your business unit and the organization. Distill your thoughts from step one and two above: Is there an underlying theme? Aim for elegant simplicity. Figure out where you are now. Spend enough time to know where you are, but your main focus is on the future. Describe the gap in terms of a compelling need to change (This is the transformation.). Try your project vision statement on everyone you meet. If you can't make others understand in less than three minutes, start over.

Guiding Principles	To Do	How To
Assess the Organizational Culture Focus on the customer Look for innovation and creativity Encourage risk taking Evaluate teamwork	Assess the current organizational and team culture in your business unit. Put the focus of the project squarely on the customer. Create a clear path from the customers' needs to the resources that meet those needs and to the project team. Nurture creativity. Don't punish pioneers.	Assess your business unit's readiness to fulfill the project vision. Hold focus groups and gather feedback on how-we-do-things-around-here. Consider benchmarking from the outside. Choose performance measures which tie directly to customer satisfaction for your business unit. Involve customers; they are key stakeholders in the project; ask for their feedback and if appropriate their participation as liaisons to change teams. Ask your middle managers and employees what could be done to allow them to serve the project customers better. Provide opportunities for ideas to surface throughout your business unit. Recognize and reward innovation. Recognize some important near misses.
Lead the Way Assemble a coalition Function as a sponsor Serve as role model Create a sense of urgency Endure to the end	Begin with yourself. If you don't role model the future, no one will. Find influential allies who share the project vision. Accelerate the pace just enough to create the right sense of urgency and momentum. Create early wins and communicate those wins. Endure to the end.	Ruthlessly examine yourself to determine how your behavior and approach to the project work, values, plans align with the project vision. Get feedback from others. Walk the talk. Do things highly visible to make the change real. Slay a sacred cow. Assign the managers reporting to you (communication agents) the task of spreading the word throughout the business unit. Use hard, cold facts to keep the compelling need for change in plain sight. Set stretch goals. Monitor, measure, celebrate, and set new goals. Cherry pick – find early wins, publicize, reward, celebrate. Give presentations; conduct one-on-ones, focus groups, town hall sessions; preside at celebrations; remove barriers; provide resources.
Manage the Scope of Change Stay within people's finite capacity to absorb change Keep an "open system" approach: systems are inter-dependent, multi-dimensional: change one, change all Tie to the vision, to keep the change into context	Assess your people's capacity for change. Lobby to kill, merge or delay any non-essential project in your business unit and across the organization. Define the big picture; let people see how initiatives interrelate. Establish strong ties to the corporate strategy.	Review data to inventory current changes in your business unit and detect people's capacity to absorb change. Gather information on all major projects. Look for objectives, overlaps, conflicts, commonality, scope, and time frames. Help validate the project as priority. Integrate, harmonize remaining projects.

Guiding Principles	To Do	How To
Communicate Openly, Honestly, Relentlessly More is better: Repeat key messages through different sources, consistently Open two way communication channels Manage the information; keep no secrets	Determine your business unit's preferred ways of communication. Create a formal plan for two-way communication. Use communication agents. Broadcast successes. Keep abreast of people's needs for communication and meet those needs. Measure the effectiveness of the communication. Manage rumors at their onset.	Create a supportive environment for the communication agents and the two-way communication channels throughout your business unit.. Use communications (two-way) to: - Create buy-in - Glean ideas you may not have thought of - Build trust - Build enthusiasm - Determine where resistance lies - Estimate the strength of the resistance - Determine the causes of the resistance - Clear up misconceptions - Figure out how far and fast people can move - Make course corrections - Find pockets of support - Surface concerns rather than suppress them
Promote Shared Ownership Involve: People support what they help to create Ownership improves quality and relevancy of decisions: involve everyone, involve them early	Identify opinion leaders in your business unit. Determine whose support is critical and whose opposition could be dangerous. Find opportunities to create buy-in among managers reporting to you and employees..	Create a matrix that shows impacted groups within your business unit and anticipated support levels (Stakeholder Matrix). In critical areas, get down to an individual level. Identify their stake in the change. Assess their readiness to change. Hold focus groups with representative sample of highly impacted groups. Hold one-on-one sessions with key stakeholders in your business unit. Involve stakeholders in your business unit in supporting the project, ideas generation, focus groups, change teams, communication, and problem solving sessions.
Create Supporting Structures Streamline decision making process Make rewards and recognition supportive of vision Instill measurements tied to the vision Align human resource systems with required behaviors	Keep bureaucracy to a minimum. Create reward systems specially for the project. Adopt measures to focus on the transformations critical to the project vision. Look for disconnects between Human Resource (HR) policies and project set up/vision. Adjust Human Resource (HR) systems accordingly.	Keep layers in the hierarchy to a minimum. Push authority and accountability down. Define the behaviors which are conducive to achieving the project's business vision. Mix measures; hard, soft, financial, non-financial, process and results. Provide the right training. Make participation on the project team a career enhancer for the resource selected from your business unit.
Build A Learning Organization Operate on an assumption of competence Create safe environment for learning Promote knowledge transfer	Lend the "best and brightest" to the project Encourage knowledge sharing Promote voluntary followership Unite people behind the project through shared vision, shared values, shared purpose Regard mistakes as learning steps Provide learning opportunities	Encourage individual characteristics which a learning organization should recognize and reward: self-directed learning, respect for others, empathy, curiosity, listening, systems thinking (ability to see how things are interconnected), risk taking, two way communication – dialogue, humility (being teachable), ability to learn from mistakes, self-knowledge – aware of strengths and weaknesses Weave learning through status reporting

Open and Closed Issues for this Deliverable

Open Issues

ID	Issue	Resolution	Responsibility	Target Date	Impact Date

Closed Issues

ID	Issue	Resolution	Responsibility	Target Date	Impact Date

Appendix A - Business Unit Managers' Interview Guide

Business Unit Managers' Insights Interview Questions

Business Unit Managers were asked the following questions:

Interview Guide for VPs/Director levels

1. What do you know about the implementation project at this point? How does it fit with the corporate strategy?
2. What are the performance indicators in your business unit? Does the performance measurement support the vision of the organization?
3. How are your managers informed of the key performance indicators, progress, etc.?
4. How do your managers use the performance indicators within their departments?
5. What tools support your performance indicators? Are rewards systems appropriately tied to the performance indicators?
6. How are your managers held accountable to meet performance objectives?
7. What are the corrective measures in place when performance expectations are not met? What are the rewards when performance expectations are met or exceeded?
8. What are your strongest areas of performance, for example productivity (quality and quantity), customer service?
9. How much decision-making authority goes down to the User levels? How do you empower your people from the top down? Can you give me examples where people actually used the power delegated to them?
10. What strategies have you used in the past to lead change which were effective?
11. What do you know about the applications (to be installed)? How will they help you improve the performance of your business unit?
12. What barriers do you see in the implementation of the application and new performance measures?
13. How receptive will your people be to the new system? How have they reacted in the past to such a project?
14. Who are the key players in your business unit?
15. Who are top performers in your organization? How receptive are they to change?
16. To what extent does the culture of the organization support performance measurement?
17. To what extent will the technological implementation challenge the targeted pilot or installation sites?

18. What types of information do you share with your direct reports?
How do you communicate up and down the organization? How do you get meaningful feedback?
19. What other projects are impending that may affect successful learning? How are they being addressed relative to the commitment of resources for this project?
20. Discuss your business goals and how you see these applications enhancing these goals.

Appendix B - Table of Common Information Technology and Organizational Development Terms

When working on the organizational aspects of technology-driven change, it is helpful to understand that common terms are used in both performance and technology transitions. The following table illustrates how the same term might have different meanings whether we are using it in an Information Technology context or in an Organizational Development context.

Table of Common Terms

The following compares common terms in two respective domains: Information technology and Organizational Development:

Term	Information Technology Common Usage	Organizational Development Common Usage
System	A collection of computer and communications hardware, coupled with software, all designed to perform according to a defined set of requirements.	The whole organization in all its complexity including the patterns, interconnections, and relationships with its environments.
Process	An ordered series of work steps that transform a set of inputs into a set of higher value output.	The “how” we go about doing something as distinct from the “what” we are doing , which is content.
Role	The work performed by an individual or organizational unit, usually related to a process or organizational goal.	The part played by an individual (for example, manager), usually including how the role is played and its relationship with other roles.
Interface	The boundary between systems or system components or between a system and a system user.	The boundary between organizational components (for example, departments)
Communication	Transfer of information between or within systems or between individuals or organizations.	Process used for the transfer of information between and among individuals.
Communications	The area of technology having to do with the transfer of data between or with systems.	Information transferred between and among individuals, groups, and/or organization.
Data	Objective representations of the values assumed by predefined parameters.	Observations systematically gathered for a defined purpose.
Information	Aggregations, histories, or other analyses of data; may also include inferences drawn from data analyses; may also include images, video, voice, etc.	Data grouped, reduced, and/or analyzed for meaning; any knowledge transfer.
Function	An operation or set of operations performed by a system, often related to a defined business requirement.	A set of tasks performed for and by a particular organizational component; also refers to the component.
Requirement	A statement of need or condition that a system is designed to satisfy; may include technical, business (functional), and environment needs/conditions.	A stated need.